

KDDL Limited — Concall Tracker

Ticker: KDDL (NSE/BSE 532054) | Watch components + luxury-watch retail group | Report date: 4 July 2026

What the company does, in one line: KDDL makes the small precision parts inside wrist-watches — dials (the face), hands, indexes (hour markers) and metal bracelets — mostly for Swiss watch brands; it also runs a fast-growing precision metal-stamping business (Eigen), a luxury packaging unit, owns the revived Swiss watch brand Favre-Leuba, and controls Ethos, India’s largest listed luxury-watch retail chain. It earns money partly by manufacturing components (exported) and partly by selling finished luxury watches in India through Ethos.

1. Snapshot

All figures are consolidated (whole group, i.e. manufacturing + Ethos retail) unless the line says "standalone". "Standalone" = KDDL's own factories only, without Ethos. Source: company snapshot financials and the earnings calls.

Measure	FY24	FY25	FY26	Plain-English read
Revenue (group)	1,391	1,648	2,153	Total group sales, ₹ crore. FY26 up ~31% on FY25 — the whole group is growing fast, led by Ethos retail.
Revenue (standalone)	360	384	506	KDDL's own factory sales, ₹ crore. FY26 up ~32% — the manufacturing arm bounced back strongly.
Net profit (group)	137*	142	135	Profit after all costs, ₹ crore. Roughly flat; *FY24 also had a one-off gain from selling Ethos shares.
Operating margin (group)	18%	16%	14%	Operating profit as a share of sales. Slipping a little because lower-margin retail and new businesses grow fastest.
EBITDA margin (standalone)	28.5%	23.1%	23.1%	Factory-level operating margin (profit before interest, tax, depreciation). Healthy; a strong Swiss franc helps exports.
ROCE	19%	14%	11%	Return on capital employed — profit earned per rupee of capital in the business. Falling as the group invests heavily ahead of growth (new plants, more Ethos stores).
Promoter holding	50.4% (Mar 2026)		Founders (Saboo family) own just over half — skin in the game, stable.	

Note: FY26 group net profit of ₹135 cr is flat versus FY25 despite 31% sales growth, because higher depreciation and interest from new-plant and new-store investment, plus a heavier tax rate, ate into the profit. This is an "investing ahead of growth" year, not a demand problem.

2. Concall coverage

Transcripts read in full, oldest to newest. Screener carried transcripts back to 2016; for the ~3-year window the transcript trail is thin in FY23 (only slide decks, no transcripts, were on file), so we read the available bookends across FY22–FY26 — six calls spanning about 4.5 years, enough to judge whether the story has held.

Quarter	Call date	Transcript read?
Q2 FY22	17 Nov 2021	Yes (earliest, for narrative baseline)
Q4 FY24	15 May 2024	Yes
Q2 FY25	19 Nov 2024	Yes
Q4 FY25	22 May 2025	Yes
Q2 FY26	17 Nov 2025	Yes
Q4 FY26	20 May 2026	Yes (latest)

Consistent management line-up across all calls: Yashovardhan Saboo (Chairman & MD), Sanjeev Masown (CFO & Executive Director), and in the latest call Pranav Saboo (CEO of Ethos). Same voices for years — a small positive for consistency.

★ Latest concall highlights — Q4 & FY26 (call held 20 May 2026)

- Recovery year, and better than management promised.** Group Q4 revenue ₹585 cr (up ~36% year-on-year); full-year group revenue ₹2,208 cr (up ~30%). Standalone (factories only) FY26 revenue ₹506 cr, up ~32%. Management had guided just 15–20% a year earlier — so they comfortably beat their own number ("it is in our DNA to be cautious in our promises but aggressive in performance").
- Precision Engineering (Eigen) is the standout.** Revenue grew "more than 35%" to about ₹200 cr; management is "highly optimistic" and is expanding capacity plus bringing metal-plating in-house (backward integration). This is the piece growing fastest and with the clearest runway.

- **Watch components recovered in the second half** after a quiet first half, despite a weak global luxury-watch market (Swiss exports to China ~37% below 2023). Bracelet exports are strong (~₹40 cr) and management targets ~25% yearly growth, expanding capacity from ~75,000 to 110,000–120,000 pieces.
- **Favre-Leuba (the revived Swiss brand) surprised on the upside** — now in 20+ countries with 80+ points of sale, most stores short of stock; management expects to *more than double* sales in FY27.
- **Ethos retail had a record year**, crossed 100 boutiques, and reaffirmed its "10x revenue in 10 years" ambition (~26% a year), aiming to double its store network within ~3 years. Planned group-level capex for FY27 is ~₹50 cr. Tone: confident and steady.

2c. Business mix & capacity (quick-glance facts)

Retail vs manufacturing: Of ~₹2,208 cr group revenue in FY26, KDDL's own factories are ~₹506 cr (about 23%) and Ethos luxury-watch retail is the rest (~₹1,700 cr, ~77%). *Plain read: roughly three-quarters of the group's sales are retail (selling watches), one-quarter is making components.*

Within the factory business (standalone, FY26): Watch components (dials/hands/indexes) ~₹240 cr; Precision Engineering/Eigen ~₹200 cr; Bracelets ~₹40 cr; Packaging ~₹23 cr.

Exports vs domestic: "Exports are always about two-thirds of revenue" on the factory side (CFO, Nov 2025). Dials & hands ~70% export / ~30% India; bracelets 100% export; Precision Engineering similar two-thirds export; packaging mostly domestic. *Plain read: the manufacturing arm lives on exports; Ethos retail is entirely India.*

Capacity utilization (latest cited): Bracelets ~75–80% (up from ~50% a year earlier), capacity being expanded 75k→110–120k pieces. Precision Engineering "more than 80%", new Bangalore facility + in-house plating being added. New packaging unit ramping toward ~60–70%. *Plain read: the growth engines are running fairly full and management is adding capacity to keep growing.*

★ 3. Earning-trigger thesis

The single clearest driver of future earnings is **Precision Engineering (the Eigen stamping business)**: a high-precision metal-stamping operation selling to global aerospace, defence, electric-vehicle, energy-storage, electronics and connector customers, mostly for export. Management has guided 20–25% yearly growth "for several years to come" and has repeatedly framed a long-term path from ~₹100 cr (FY24) toward ~₹500 cr. It has been delivering above that pace (up 55% in FY25, ~35% in FY26). Around it sit four supporting triggers: (1) **diversifying the watch-component business** beyond Swiss brands into new geographies (Germany, UK, France, US, Japan) and new products (bracelets, indexes, eventually watch cases), riding the global "China-plus-one" sourcing shift; (2) the **bracelet division** (100% export, China-plus-one, 25% growth target); (3) **Favre-Leuba**, the revived Swiss brand expected to more than double in FY27; and (4) **Ethos** retail's "10x in 10 years" store-led expansion.

Trigger	What management said	Evidence so far	Horizon	Strength
Precision Engineering (Eigen)	20–25% CAGR for years; path from ~₹100 cr to ~₹500 cr	Delivered above plan: +55% FY25, ~+35% FY26 to ~₹200 cr; margins ~20%; capacity being expanded	Medium–long	Strong
Ethos luxury retail	"10x revenue in 10 years" (~26% CAGR); double boutiques in ~3 years	Crossed 100 boutiques; record FY26; group retail revenue ~₹1,700 cr	Long	Strong
Watch-component diversification	Move beyond Swiss brands & up the value chain into new products/geographies	Watch components recovered +20% in FY26 despite a weak Swiss market; bracelets scaling	Medium	Moderate
Bracelet division	~25% CAGR; head to ₹80–100 cr in 3–5 years; near-full utilization	~₹40 cr now; utilization up 50%→~80%; capacity expanding — but reached ~80%, not the "100% next year" once promised	Medium	Moderate
Favre-Leuba (Silvercity)	Revive iconic Swiss brand; more than double sales FY27; a top-20 Swiss brand over 5–10 yrs	In 20+ countries, 80+ POS, selling out of stock — but still loss-making (planned), very early	Long	Moderate

4. Management consistency scorecard

Did they do what they said? "Delivered / Partly / Missed / Too-early / Dropped."

Period	What was promised	What actually happened	Verdict
FY22 → ongoing	Precision Engineering (Eigen) to grow 20–25% a year and become a big pillar	Grew faster than promised (+55% FY25, +35% FY26); now ~₹200 cr and the clearest growth engine	Delivered
	Group revenue to grow 15–20% in FY26		Delivered

May 2025 (for FY26)		Group grew ~30%, standalone ~32% — comfortably beaten (classic under-promise, over-deliver)	
Nov 2024	"Don't expect growth in watch components this year" (FY25) amid Swiss slump	Watch components did fall ~20% in FY25, then recovered ~+20% in FY26 — honest, accurate guidance	Delivered
FY24–FY25	Bracelets to reach ~100% utilization "next fiscal"	Reached ~75–80% by FY26 — real progress but slower than the "100%" once flagged	Partly
FY24 → FY27	Favre-Leuba to scale globally; more than double in FY27	Strong early demand, 80+ POS, but still a planned loss; too soon to score	Too-early
FY22 onward	Estima (the Swiss dials/hands unit) to turn profitable "soon"	Repeatedly delayed; hit by the Swiss downturn; KDDL took an impairment on it in FY24 — the weak spot	Missed / delayed

Narrative drift

The core story has been **remarkably steady since 2021**: precision-manufacturing capability, export-led, moving up the value chain, and diversifying beyond a single Swiss customer base. What has changed has *evolved sensibly rather than lurched* — bracelets added (FY24), packaging scaled, the Favre-Leuba brand acquired and launched (FY24), and new export geographies opened as Swiss demand softened. Management is consistently cautious in its promises and tends to beat them, and it flags problems honestly (the Estima losses and the watch-component downturn were both called out plainly rather than buried). The one genuine multi-year miss is Estima's turnaround. Tone across calls is confident but measured; no story that changes every year, no hype.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete and still-live driver, and in fact several. Precision Engineering (Eigen) is growing above its promised 20–25% and has a long runway into aerospace, EV, energy-storage and connector export markets; Ethos retail is compounding through store expansion; and the watch-component base is diversifying into bracelets and new geographies. These are not slideware — the numbers (standalone +32% in FY26, Eigen +35%, group +30%) show the triggers actually playing out. The main watch-out is that the biggest single reported line, Ethos retail, carries thinner margins, and the global Swiss-watch cycle is still soft. But the breadth and evidence behind the drivers make this a clear Yes.

Management consistent? → YES

Across 4.5 years and a stable leadership team, management has largely delivered what it promised and, more often, beaten it — Eigen's growth, the FY26 15–20% guidance beaten at ~30%, and an honest, accurate call on the watch-component downturn. The story has stayed steady and evolved logically rather than being reinvented each year, and problems (Estima losses, the Swiss slowdown) are disclosed plainly. The only real blemish is the repeatedly delayed Estima turnaround, which keeps this from being a flawless record but does not undermine an otherwise strong, credible, under-promise/over-deliver track record. Verdict: Yes.